

New Venture Finance

Fall 2026

PROFESSOR	Richard Townsend	EMAIL	rrtownsend@ucsd.edu
PHONE	(858) 246-1632	OFFICE HOURS	calendly.com/rrtowns/30min

DESCRIPTION

This course is designed to help managers make better investment and financing decisions in entrepreneurial settings. Aimed at students interested in working as either entrepreneurs or investors, the class will explore topics from both perspectives. The curriculum focuses on the intersection of entrepreneurship and finance, with a primary emphasis on the venture capital process. We will cover the full lifecycle of a new venture, from sourcing and evaluating deals to structuring term sheets, measuring fund performance, and planning for a successful exit. The course uses a hybrid instructional model, combining asynchronous online lectures and readings with synchronous, interactive case discussions and exercises.

OBJECTIVES

At the close of this course, you will be able to:

- **Analyze** investment opportunities by evaluating the four key areas of a startup: the founding team, market opportunity, product, and early traction.
- **Calculate** startup valuations using the VC Method, working backward from a projected exit value while accounting for target returns and future dilution.
- **Structure** and negotiate venture financing deals by interpreting the key economic and control terms in term sheets, such as convertible preferred stock, anti-dilution clauses, and protective provisions.
- **Evaluate** the structure, economics, and performance of venture capital funds from the perspective of both a General Partner (GP) and a Limited Partner (LP).
- **Compare** and contrast various funding sources for new ventures, including venture capital, angel investing, crowdfunding, and venture debt.
- **Develop** an optimal exit strategy for a startup by evaluating the trade-offs between the two primary exit avenues: an Initial Public Offering (IPO) and an acquisition.

MATERIALS

Required

- Course Reader
- *Fundamentals of Entrepreneurial Finance* by Marco Da Rin and Thomas Hellman

SCHEDULE

WEEK	CLASS TOPIC & ACTIVITIES	MODALITY	EXAM
Week 1	VC Overview + Deal Sourcing/Evaluation	Asynchronous	
Week 2	Deal Sourcing/Evaluation in Practice	Synchronous	
Week 3	VC Securities	Asynchronous	
Week 4	Term Sheets	Asynchronous	
Week 5	Valuation	Asynchronous	Midterm Exam
Week 6	Deal Negotiation in Practice	Synchronous	
Week 7	Alternative Funding Sources	Asynchronous	
Week 8	GP-LP Relationship and Performance Measurement	Asynchronous	
Week 9	Exits	Asynchronous	
Week 10	Fund Management and Exits in Practice	Synchronous	
Week 11	Final Exam	Asynchronous	Final Exam

ASSIGNMENTS

Unless stated otherwise, collaboration with classmates is allowed on assignments. However, each student must submit their own work.

The midterm and final exams must be completed individually.

GRADING

CATEGORY	WEIGHT
Participation	20%
Quizzes/Assignments	20%
Midterm	30%
Final	30%

CHATGPT AND OTHER AI TOOLS

Large Language Models and AI in general are new and powerful tools. They can be helpful for asking questions about course material to deepen your understanding, but they can also make mistakes. This policy is designed to provide clear guidelines on how they can be used productively and ethically in this course.

You are **encouraged to use AI tools as a learning aid**. For instance, you can use them to:

- Define and explain key concepts from the lectures and readings.
- Ask for alternative examples of topics discussed in class.
- Get help understanding complex financial models or terms.

CHATGPT AND OTHER AI TOOLS - CONTINUED

However, you must ultimately complete the graded work on your own. You **should not enter assignment questions directly into AI tools to get answers**. Submitting work generated by an AI tool as your own is a violation of academic integrity. For assignments, you are expected to do the analysis and write-up yourself.

The midterm and final exams will emphasize your ability to understand and implement the analytical tools discussed in this course. You are expected to work on your own, without the assistance of AI tools, on all exams.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UC San Diego Policy on Integrity of Scholarship can be viewed at senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2.

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. No accommodations can be implemented retroactively.

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.